Industrial Policies

Industrial Policy 1948 –

Center's Monopoly : Government of India's Monopoly shall include Railways, Arms and Ammunition, Atomic Energy, Postal Department.

State's Monopoly : State Monopoly shall include natural resources like coal, steel, manufacture of aircraft, cement, rubber, automobile, wireless apparatus (Radio Receiving Sets) and mineral oil.

Unregulated Private Enterprises : It was kept open to private enterprises of individuals and co-operative societies to also involve.

1. Industries were classified into four groups such as public sector (strategic industries), public–cum –private sector (key industries), controlled private sector, private and co-operative sectors.
2. This policy endeavoured to protect cottage and small scale industries.
3. The central and state governments had a virtual monopoly in rail roads and exclusive rights to develop minerals, iron ore etc.
4. The Government encouraged the significance of foreign capital for industrialization but the government decided that the control should remain with Indian hands.

8.6.2 Industrial Policy Resolution 1956

1. The Industrial Policy of 1956 sought to give a dominant role to public sector. At the same time, it assured a fair treatment to the private sector.
2. The Government would support and encourage cottage and small scale enterprises by restricting volume of production in the large scale sector by differential taxation or by direct subsidies.
3. This industrial policy emphasized the necessity of reducing the regional disparities in levels of development.

Industrial Resolution Policy – 1956

Shaped by the Mahalanobis Model of growth, which suggested that emphasis on heavy industries would lead the economy towards a long term higher growth path.

The Industrial Policy Resolution – 1956 classified industries into three categories;

17 Industries :
exclusively under the domain of the Government.
These included inter alia, railways, air transport, arms and ammunition, iron and steel and atomic energy.

12 Industries :
Which were envisaged to be progressively Stateowned but Private Sector was expected to supplement the efforts of the State.

The third category contained all the remaining industries and it was expected that private sector would initiate development of these industries but they would remain open for the State as well.

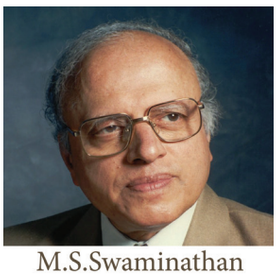
4. The Government recognized the need for foreign capital for progressive Indianisation of foreign concerns.

8.6.3 Industrial Policy Resolution 1991

1. The main objective was to open the Indian Economy in to the Globalisation arena.
2. It provides a new direction to the Indian Market.
3. It focused on reducing the rate of inflation and building up foreign exchange reserves to accelerate the economic growth of a country.

8.7 Green Revolution

The term Green Revolution refers to the technological breakthrough in agricultural practices. During 1960's the traditional agricultural practices were gradually replaced by modern technology and


M.S.Swaminathan

Chapter-08.indd 171 1/2/2023 11:52:17 AM